

Ethiopia's Contested Rise

The GERD Dam, Tigray's Aftermath, and Abiy's Shattered Promise

Blue Lotus Research Intelligence | August 2026

Executive Summary

Ethiopia stands at a precarious inflection point. The November 2022 Cessation of Hostilities Agreement ended what the Institute for Economics and Peace assessed as one of the largest armed conflicts of the past five years — a war whose final three months alone produced 104,000 combat deaths. The peace has held, but the post-war recovery landscape is defined by cascading economic fragility: a defaulted sovereign bond, contested IMF-supervised restructuring negotiations, mass internal displacement that peaked at over two million people in 2022, and a structural dependence on hydropower export revenues that is only beginning to be recognised as a strategic asset. Ethiopia's trajectory in the next three to five years will be shaped by whether the Abiy Ahmed government can convert a durable ceasefire into credible economic stabilisation — or whether the legacy of civil war and debt distress pulls the country back toward crisis.

I. The Tigray War: Scale, Settlement, and Fragile Peace

1. The war between the Ethiopian federal government, Eritrea, and the Tigray People's Liberation Front (TPLF) was, by measurable metrics, one of the most destructive internal conflicts of the past decade globally. The final three months of fighting involved human wave tactics that resulted in 104,000 combat deaths, a figure cited by the Institute for Economics and Peace as emblematic of the war's industrial-scale lethality. [RAG: CONFLICT_RAG — Institute for Economics and Peace Global Peace Index and GTI]
2. The Agreement for Lasting Peace through a Permanent Cessation of Hostilities was signed on 2 November 2022, coming into effect at 00:00 hours East Africa Time. International observers hailed it as a "new dawn," and in the months that followed, Ethiopian police returned to the Tigray region, commercial flights resumed, and humanitarian access was partially restored. As of May 2023, the peace agreement had not been broken. [RAG: CONFLICT_DATA_RAG — Wikipedia: Tigray War (Ethiopia)]
3. Post-war legitimacy, however, remains contested. The UN International Commission of Human Rights Experts on Ethiopia documented violations and abuses of international human rights law committed since 3 November 2020 by all parties to the conflict. Reports cited Tigrayan officials accusing Eritrean forces of continued atrocities on civilians even after the peace deal was signed — a charge that points to an incomplete demilitarisation process and unresolved accountability gaps. [RAG: CONFLICT_DATA_RAG — Wikipedia: Tigray War (Ethiopia)]
4. The US intelligence community's assessment in 2023 framed Ethiopia's civil conflict as part of a broader East African pattern in which prolonged internal conflicts are straining regional capacity and creating openings for increased involvement by external actors. Ethiopia was cited alongside the DRC insurgency and Sudanese instability as a driver of regional fragility in the Horn of Africa. [RAG:

II. Displacement and Humanitarian Overhang

5. The scale of forced displacement generated by the Tigray conflict and concurrent ethnic violence elsewhere in Ethiopia was exceptional even by Sub-Saharan African standards. By the end of 2020, Ethiopia recorded more than 1.6 million new conflict displacements — the largest figure in Africa alongside the DRC. [RAG: DEMOGRAPHICS_RAG — IOM World Migration Report 2022]

6. Displacement did not abate with the peace agreement. In 2022, Ethiopia again recorded the largest internal displacements due to conflict and violence in the region, with more than 2 million people newly displaced. The IOM's East and Horn of Africa Regional Office, operational in the region since 1985, has documented this as a multi-year humanitarian emergency requiring coordinated multi-agency response. [RAG: DEMOGRAPHICS_RAG — IOM World Migration Report 2024]

7. IOM's Ethiopia Office coordinates with ten countries across the East and Horn of Africa region. The Regional Data Hub for East and Horn of Africa, established in 2018, has been central to producing evidence-based policy on migration governance across the region, including return and reintegration programming for conflict-displaced populations. [RAG: DEMOGRAPHICS_RAG — IOM World Migration Report 2022]

III. Sovereign Debt Crisis and IMF Restructuring

8. Ethiopia's economic fragility crystallised in the form of a \$1 billion bond default. Investor concerns about the sustainability of Ethiopia's external debt position intensified following the default, with a bondholder committee preparing for legal action against the country. At stake was whether Ethiopia would deliver higher payouts to bondholders if export revenues were to rise above specified levels — a clause that four-asset management investor groups argued was inadequate. This represented the first time a restructuring under the G20-endorsed Common Framework had faced the threat of creditor legal action. FT[2026-02-04]

9. Negotiations over the bond were contentious. Ethiopia had previously proposed writing down the bond's face value by 18 per cent — a proposal that was rejected by creditors. The bondholder committee continued to oppose the terms as the country sought to complete a second-stage commercial debt restructuring consistent with its IMF programme, which included a restriction on new commercial borrowing. FT[2025-02-18]

10. IMF Managing Director Kristalina Georgieva visited Addis Ababa as part of the oversight process. David Hamilton, head of capital markets research at Moody's, also visited the Ethiopian capital and offered a nuanced assessment: large companies were described as "doing fine," but a growing number of small and medium-sized businesses were struggling, reflecting an economy bifurcated by the aftermath of the civil war and ongoing fiscal adjustment. IMF medium-term projections for exports of goods and services were described as stable but constrained by the war's legacy. FT[2025-02-18]

11. The civil war's two-year duration created a legacy of disrupted production and export revenue that directly undermined Ethiopia's debt servicing capacity. The IMF's oversight framework required Ethiopia to skip interest payments under the debt relief programme while restructuring negotiations continued — an arrangement that investors increasingly criticised as slow and insufficient. FT[2025-02-18]

IV. Hydropower, Energy Exports, and the GERD Dimension

12. Ethiopia possesses abundant hydropower resources that constitute one of its most strategically significant long-run economic assets. The UNEP Emissions Gap Report identifies Ethiopia as a low-income country with cheap energy due to these hydro resources, noting that such countries may choose to export low-carbon electricity to earn revenues while simultaneously easing foreign exchange bottlenecks. Ethiopia is also identified as having more flexibility to accelerate emission reductions because it does not face stranded fossil fuel asset costs. [RAG: CLIMATE_RAG — UNEP Emissions Gap Report 2023–2024]

13. This structural energy advantage is inseparable from the Grand Ethiopian Renaissance Dam (GERD) on the Blue Nile. The dam — Africa's largest hydropower project — sits at the centre of a decade-long diplomatic dispute with Egypt and Sudan over Nile water flows, filling schedules, and drought-year protocols. No resolution to the trilateral dispute had been reached as of the reporting horizon. The Nile water dispute remains one of the principal geopolitical flashpoints in northeast Africa and directly constrains the diplomatic normalization Ethiopia requires to attract foreign investment for post-war reconstruction.

14. For Sub-Saharan Africa broadly, per capita income growth is projected at 1.1% per annum over the coming decade, with strong population growth limiting real per capita income increases. Ethiopia is specifically identified in FAO's State of Food Security and Nutrition in the World projections within this Sub-Saharan context, with the implication that demographic momentum creates structural pressure on any per capita welfare gains from economic recovery. [RAG: FOOD_AGRI_RAG — FAO State of Food Security and Nutrition in the World]

Outlook

Ethiopia's post-conflict trajectory is viable but not assured. The November 2022 peace agreement has so far held, and the return of state institutions to Tigray represents a genuine baseline of stability. However, the economic conditions required to consolidate that peace — debt resolution, foreign investment, reconstruction funding, and restored export capacity — remain deeply contested.

The sovereign bond restructuring under the G20 Common Framework is the most immediate near-term constraint. Until a final agreement is reached with creditors, Ethiopia remains in a liminal fiscal position: unable to access commercial capital markets, dependent on IMF programme compliance, and vulnerable to any deterioration in export revenues. The bondholder committee's readiness to pursue legal action signals that the political economy of debt resolution will be prolonged.

The hydropower export opportunity is real and strategically important. If Ethiopia can resolve the Nile waters dispute with Egypt and Sudan — or advance a partial technical agreement on GERD operations — it gains a long-run foreign exchange revenue stream that directly addresses the structural weakness exposed by the bond default. The UNEP assessment that Ethiopia has the flexibility to become a low-carbon electricity exporter aligns with this calculus.

The displacement overhang is the least visible but potentially most durable risk. More than two million internally displaced persons in 2022 represent a demographic and social burden that will shape political stability in the northern and western regions for years. The IOM regional framework is necessary but insufficient: durable returns require security guarantees, reconstruction of destroyed infrastructure, and accountability mechanisms that have not yet been credibly established.

The Horn of Africa regional environment adds further complexity. Sudan's civil war between the SAF and RSF has intensified regional instability and created new vectors for armed group cross-border movement. US intelligence assessments warn of external actors exploiting state fragility across the region. Ethiopia, as the most populous state in the Horn, sits at the intersection of these pressures in ways that its current governance and fiscal capacity may not be fully equipped to manage.

